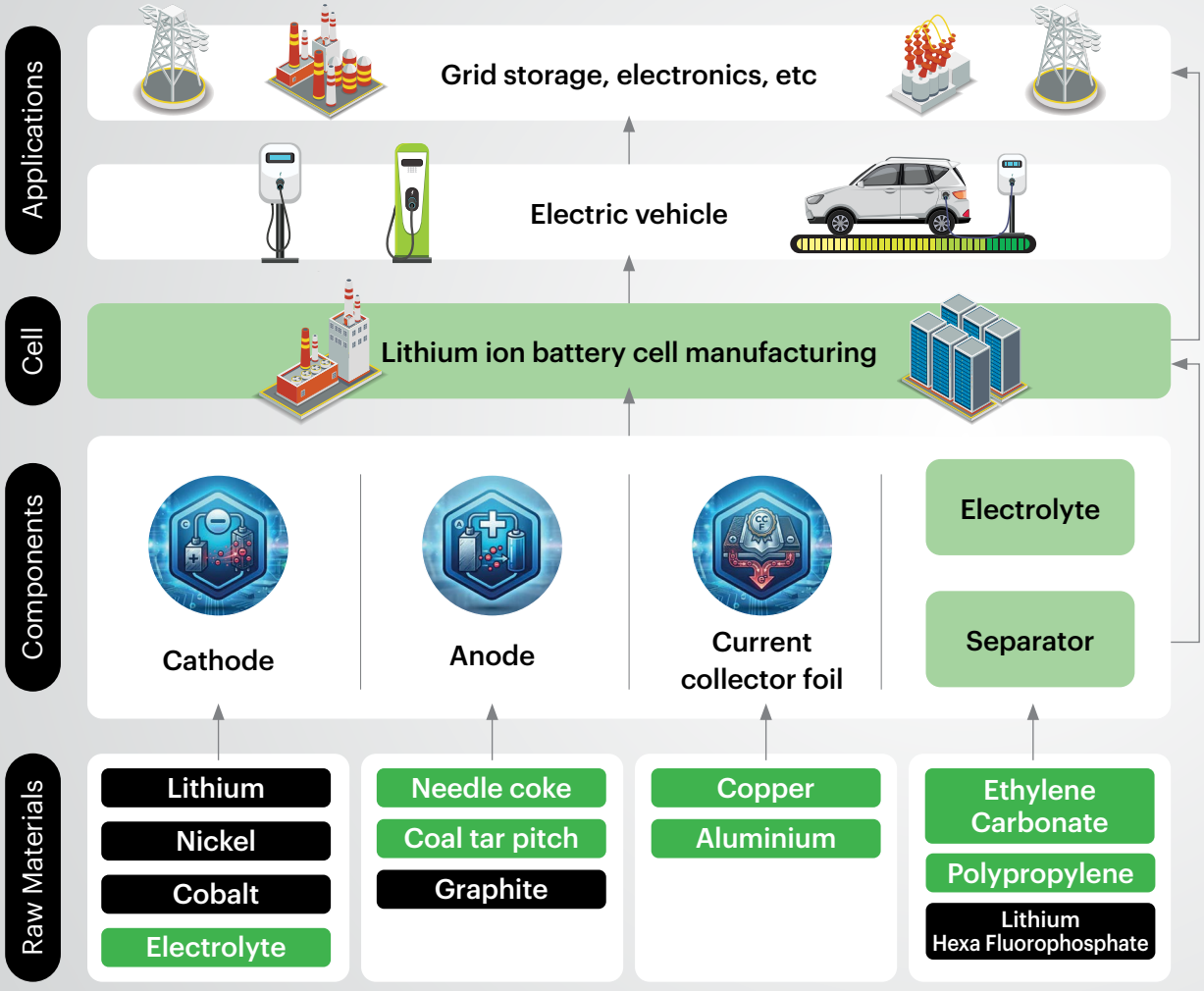
INSIDE A CELL

- **India is heavily dependent on imports for some key minerals that go into a battery**



■ SUPPLY CHAIN BOTTLENECKS ■ SIZEABLE DOMESTIC SUPPLY CHAIN EXISTS

SOURCE INDUSTRY

gies, no PLI beneficiary has been able to set up cell manufacturing capacity. Ola Cell Technologies, too, has started commercial operations with only 2.5 GWh even though it bagged 20 GWh of capacity under the PLI ACC scheme. No cell maker has received any incentive yet.

One reason is the dependence on imports for battery parts, mainly from China, which some say is "weaponising" access. Now, the government is planning a ₹12,000 crore PLI scheme for battery cell components such as cathode and anode active materials, electrolytes and copper foil separators. It wants to develop the entire raw material ecosystem.

The ACC PLI Scheme has not worked as we need incentives for cell components first, Anurag Choudhary, Chairman, Managing Director and CEO of Himadri Speciality Chemical Ltd, tells *BT*. "Unless you have raw material components, you will remain an assembler," he says. The government must play a critical role, he says. "This is going to be a big industry," he says, adding the best option is to set up the entire value chain in the country. Himadri plans to set up a 2,000-tonne plant for cathode active materials, a key raw material for LFP (Lithium Iron Phosphate) cells, in Kolkata. The company expects it to be operational by December 2026. "We are also working on a 40,000 metric tonne plant, which will be operational in FY28."

Himadri has started a 200-tonne plant in West Bengal to produce anode from coke and coal tar. "Cathode and